future to justify the stock price today. Let's take a hypothetical case: DotCom.com. First, you find the "market capitalization" ("market cap" for short) by multiplying the number of shares outstanding (let's say 100 million) by the current stock price (let's say $100 a share). One hundred million times $100 equals $10 billion, so that's the market cap for DotCom.com.

Whenever you invest in any company, you're looking for its market cap to rise. This can't happen unless buyers are paying higher prices for the shares, making your investment more valuable. With that in mind, before DotCom.com can turn into a tenbagger, its market cap must increase tenfold, from $10 billion to $100 billion. Once you've established this target market cap, you have to ask yourself: What will DotCom.com need to earn to support a $100 billion valuation? To get a ballpark answer, you can apply a generic price/earnings ratio for a fast-growing operation—in today's heady market, let's say 40 times earnings.

Permit me a digression here. On I mention how wonderful companies become risky investments when people overpay for them, using McDonald's as exhibit A. In 1972 the stock was bid up to a precarious 50 times earnings. With no way to "live up to these expectations," the price fell from $75 to $25, a great buying opportunity at a "more realistic" 13 times earnings.

On the following page I also mention the bloated 500 times earnings shareholders paid for Ross Perot's Electronic Data Systems. At 500 times earnings, I noted, "it would take five centuries to make back your investment, if the EDS earnings stayed constant." Thanks to the Internet, 500 times earnings has lost its shock value, and so has 50 times earnings or, in our theoretical example, 40 times earnings for DotCom.com.

In any event, to become a $100 billion enterprise, we can guess that DotCom.com eventually must earn $2.5 billion a year. Only thirty-three U.S. corporations earned more than $2.5 billion in 1999, so for this to happen to DotCom.com, it will have to join the exclusive club of big winners, along with the likes of Microsoft. A rare feat, indeed.

I'd like to end this brief Internet discussion on a positive note. There are three ways to invest in this trend without having to buy into a hope and an extravagant market cap. The first is an offshoot of the old "picks and shovels" strategy: During the Gold Rush, most would-be miners lost money, but people who sold them picks, shovels, tents, and blue jeans (Levi Strauss) made a nice profit. Today, you can look for non-Internet companies that indirectly benefit from Internet traffic (package delivery is an obvious example); or you can invest in manufacturers of switches and related gizmos that keep the traffic moving.

The second is the so-called "free Internet play." That's where an Internet business is embedded in a non-Internet company with real earnings and a